Decentralisation and Digital Transformation:
User e-Consciousness and Accountability of Intermediators

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Abstract

With the rise of new technology and decentralised systems came about emerging e-business models and practices. The plurality of sources of information, as well as asymmetry of information and anonymity, are susceptible to create confusions, misinformation, over-information, and misuse of information amongst the Users. Despite the European initiatives on the regulation of digital markets and platforms[1], certain difficulties remain, as a one-size fits all type of legal framework would not sufficiently take into account the possibilities of emerging business models, ecosystems and new markets[2]. Further, attempting to create a regulatory framework for a continuously developing digital market may not be ideal during a pilot period, whereby different actors are testing out ways to integrate their projects in the novel environment. In consideration of the aforementioned elements, the present paper suggests the creation of a self-risk-assessment User habit and the promotion of incentives to Intermediators acting in projects that involve digital trade, transfer, transaction, and exchange with views of achieving a convergence of good faith, trustworthy, transparent e-conscious practices.

[1] as noted Prof. Anne C. Witt in the article *Platform regulations in Europe -per se rules to the Rescue* – "*the question is no longer whether, but how to regulate.*"

[2] Jacques Crémer Yves-Alexandre de Montjoye Heike Schweitzer, *Competition Policy for the digital era,* Final report, European Union, 2019

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List of abbreviations

B2B	Business to Business
B2C	Business to Consumer
ECJ	European Court of Justice
C2C	Consumer to Consumer
DMA	Digital Market Act
DSA	Digital Service Act
EU	European Union
MS	Member States
NFT	Non-Fungible Tokens
TEU	Treaty on European Union
TFEU	Treaty on the Functioning of the European Union

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Definitions

Digital Projects	Projects involving the exchange, transfer, transaction and/or trade of one or more assets in exchange for a consideration, in the context of an individual or a collaborative enterprise, directly through digital media or through hybrid physical/digital media.
User	A wider notion of a "User" will be used in complement to that of a "consumer"[3], since e-consumers may wear a double hat and also act as promoters, Intermediaries and/or self-represented dealers.
Intermediators	Any physical or digital points of exchange, transfer, trade and transaction (e.g. marketplaces, decentralised platforms, websites, Web 3.0., online stores, blockchain), regardless of their legal form or business model, as well as legal or physical persons promoting, enabling, organising and/or facilitating any form of digital exchange, transfer, transaction and/or trade to its Users, or having the direct or indirect effect of inducing the general public into participating (promoting, selling, buying, investing, giving, sharing information etc.) as a User. By focusing on the "intermediating function" of any structure, person, entity or mediums, the definition is large enough to ensure consumer welfare is respected even in consideration of prospective emerging models, structures and forms of businesses that may not currently fit in the categories of market players covered by European or national consumer protection laws. The object of the exchange, transfer, transaction and/or trade may include digital and/or physical assets, services, data and/or information.

[3] Official Journal of the European Union, L265, Vol 65, October 12, 2022, https://eur-lex.europa.eu/TodayOJ/

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Introduction

The present paper seeks to promote the enhancement of User e-consciousness, namely on their risk-assessment habits (I). In lines with this objective, a focus ought to be set on the common objective of offering an efficient, simple and transparent system taken globally, which is understandable by an ordinary and reasonable User of any age and background (II). This is because the definition of clarity and transparency with regards to a "reasonable User" may depend on the culture, the education, the social background or the individual User habit in an identified territory, amongst other diverse factors. Such shift in focus and balancing responsibilities would result in the promotion of conscious, good practices in favour of a healthy decentralised ecosystem.

I. Towards the Promotion of E-Conscious Users in Emerging Digital Markets

Digitisation and technological development compelled European and national legislators to adapt the existing legislation or create new ones in accordance with the e-reality. Digital revolution has highlighted the importance of tackling consumer policy issues such as information asymmetry, online tracking, or misleading e-data.

In primary law, the legal basis for consumer protection are Articles 4(2)(f)[4], 12, 114(3)[5] and 169[6] of the TFEU and Article 38 of the Charter of Fundamental Rights of the European Union. Article 169 of the TFEU states the objectives of the policy aiming to promote the interests of consumers and to ensure a high level of consumer protection. For this reason, the EU shall contribute to protecting the health, safety, and economic interests of the consumers, as well as to promoting their right to information and education. Considering that consumer protection is a shared competence, the European Commission, and the national authorities[7] are responsible for its enforcement.

The Directive 2005/29/EC was an important booster for consumer protection. Its amendment in 2019[8] enabled certain adjustments to the digital economy, providing the definition of an online marketplace and broadening the notion of a product in its Article 3.

[4] Consolidated version of the TFEU - Part I : Principles - Title I: Categories And Areas Of Union Competence - Article 4, Official Journal 115 , 09/05/2008 P. 0051 - 0052

[5] Consolidated version of the TFEU - Part III : Union Policies And Internal Actions - Title VII: Common Rules On Competition, Taxation And Approximation Of Laws - Chapter 3: Approximation of laws - Article 114 (ex-Article 95 TEC), OJ C 115, 9.5.2008, p. 94–95

[6] "(…) *In order to promote the interests of consumers and to ensure a high level of consumer protection, the Union shall contribute to protecting the health, safety and economic interests of consumers, as well as to promoting their right to information, education and to organise themselves in order to safeguard their interests*."

[7] Regulation (EU) 2017/2394 of the European Parliament and of the Council of 12 December 2017 on cooperation between national authorities responsible for the enforcement of consumer protection laws and repealing Regulation (EC) No 2006/2004 (Text with EEA relevance), OJ L 345, 27.12.2017, p. 1–26

[8] Directive (EU) 2019/2161 of the European Parliament and of the Council of 27 November 2019 amending Council Directive 93/13/EEC and Directives 98/6/EC, 2005/29/EC and 2011/83/EU of the European Parliament and of the Council as regards the better enforcement and modernisation of Union consumer protection rules (Text with EEA relevance), PE/83/2019/REV/1, OJ L 328, 18.12.2019

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On 17 December 2021, the European Commission adopted a new Commission Notice on the interpretation and application of the Directive in consideration of the amendments introduced by Directive (EU) 2019/2161, to increase awareness of the directive amongst all interested parties at EU-level as well as to ensure its proper application.

In the "New Deal for Consumers"[9], the instauration of a greater transparency requirement in online marketplaces was identified as one of the objectives aiming to modernise the consumer acquis. In the same legal framework, awareness-raising among the consumers was pointed out as a key element in building a consciousness society.

The DSA[10], forming part of the Digital Services Package, is dedicated to define new and enhanced responsibilities and reinforce the accountability of online intermediaries. It aims to ensure that consumers are protected effectively against illegal products, content, and activities on online platforms.[11] However, this *ex-ante* instrument prioritizes control of the conduct of the gatekeepers, leaving *a priori* the smaller market players and C2C relations out of scope. On March 22, 2022, the European co-legislator found an agreement on the DSA. As emphasized by Thierry Breton, Commission for the Internal Market, the new tool targets very large platforms.[12]

At the beginning of 2022, the Consumer Protection Cooperation Network released the results of the EU website screening study on online consumer reviews.[13] According to the study, over half of the screened websites did not present truthful information to customers, thus potentially violating the Unfair Commercial Practices Directive 2005/29/EC.[14] This study demonstrates that the digital markets, despite their contribution to the economic and social development, could have detrimental effects on the final consumer.

Although the doctrine is divided as to the outcome of the Digital Service Package, the need for public intervention is not contested. It is in this context that new solutions were adopted on April 22, 2022, introducing the notion of "trusted flaggers" to ensure transparency of information for consumer protection.

[9] Communication from the Commission to the European Parliament, the Council and the European Economic and Social Committee a new deal for consumers com/2018/0183 final

[10] Proposal for a Regulation of the European Parliament And Of The Council on a Single Market For Digital Services (Digital Services Act) and amending Directive 2000/31/EC, COM/2020/825 final

[11] Article 22 secures the idea expressed in Recital 49, specifying that "*online platforms allowing consumers to conclude distance contracts with traders should ensure that such traders are traceable*"

[12] "*the DSA is setting clear, harmonised obligations for platforms – proportionate to size, impact and risk. It entrusts the Commission with supervising very large platforms, including the possibility to impose effective and dissuasive sanctions", Press release, DSA: Commission welcomes political agreement 23.04.2022*

[13] European Commission website, Sweeps, https://ec.europa.eu/info/live-work-travel-eu/consumer-rights-and-complaints/enforcement-consumer-protection/sweeps_en

[14] Directive 2005/29/EC of the European Parliament and of the Council of 11 May 2005 concerning unfair business-to-consumer commercial practices in the internal market and amending Council Directive 84/450/EEC, Directives 97/7/EC, 98/27/EC and 2002/65/EC of the European Parliament and of the Council and Regulation (EC) No 2006/2004 of the European Parliament and of the Council ('Unfair Commercial Practices Directive') (Text with EEA relevance)

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EU legislators have taken steps to adjust the European rules to the new "e-reality". However, smaller operators and new entrants to the market ought to be taken into account in prospective policy making. The digital market requires, for the purpose of its operability and security, as well as the innovative products and services that it may require, technical actors, professionals and specialists. The latter may involve individuals, startups, SMEs and niche expert firms bringing innovative solutions to new problematics that may have a significant impact on the digital economy.

Further, the adaptation of the legal environment to the current factual situation is not an ultimate panacea. Consumer protection would be sufficiently assured only when the Users generally have been informed about their rights and the risks, and when the legal framework would constitute a flexible basis for the newly emerging digital markets[15].

A system, regime or measure that enables an Intermediator to create a relation of trust with its Users and remain not only socially but also morally responsible for its acts and representations. This is because Intermediators are best placed to promote and contribute to creating a pro-consumer digital ecosystem, regardless of its legal structure, status or form. This would also enable the existence of a *laissez-faire* market environment in favour of innovation (II).

II. Towards the Moral and Social Accountability of Intermediators

The European framework on the protection of consumers focused on an economic approach, in parallel with national laws applicable within the Member States, constitute a solid foundation for a conscientious User. For example, the European Commission's Notice dated December 17, 2021, can serve as a guidance for the practical interpretation and application of the consumer protection rules. The Notice clarifies the obligations of online platforms and marketplaces, transparency of search results, influencer marketing, gaming practices and online intermediaries. Constantly adjusting laws, rules and regulations or creating new ones is susceptible to harm coherence and integrity, namely with the rise of new types of businesses and emerging business models. Thus, a practical solution complementary to the existing laws, rules and regulations, in favour of User education, is needed.

In practice, the initiators of digital projects, unlike in the classic corporate setting with legal entities or natural persons, may result being any ordinary people with no legal capacity or personality. As such, frameworks of protection for minors as well as other vulnerable Users remain a primordial concern. One of the essential problematics that ought to be addressed in this respect is to promote an e-conscious and prudent User habit as to the various risks of engaging directly as an actor or indirectly as a consumer to the Digital Projects. The elements to check prior to such engagement may include the identity of the company and its representative, the date of establishment, the effective turnover made each year, any relevant license or a professional certificate in the relevant industry, and the number of real, active members and Users (not bots or fraudulent accounts) per EU Member State. With regards to the Digital Projects, the Users would ideally verify the official project name/title known to the public, the identity of the people involved (promoter, creator, community manager, etc.), the description and the timeline of the projects per phase, the existing and target funds, the official links and websites, any relevant contact details in case of suspect activities or fraud, and a licence or any other professional authorization identification number relating to the project if the activity would be regulated in a physical world (agency, payment services, insurance, real estate).

[15] This would go in parallel with practical tools accessible to and designed for the actors and Users in the industry

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Moreover, the applicable consumer protection rules depend on the type of business models involved (B2B, B2C, C2C) and its form (online, offline). For instance, in B2C relations the Consumer Sales and Guarantees Directive may be applied, with misleading information being covered by the Misleading and Comparative Advertising Directive[1617]. The situation would be more complex in C2C relationships, especially when a C2C transaction is influenced by third parties (e.g. influencers, magazines, social media), or involves the engagement of an Intermediator. Therefore, more incentives are required vis-à-vis organizers, creators, intermediaries and contributors to the project to act more responsibly and stabilize the market by striving to find a durable use case rather than creating opportunist schemes relying on User misinformation, information asymmetry and market volatility.

A typical example relate to NFTs, i.e. indivisible cryptographic elements with unique identification data that make it possible to distinguish one from another. In this context, some major concerns remain the risk of abuse of the market's lack of structure and volatility to create sham projects and "wash trading". Many businesses and entrepreneurs trying to enter the emerging market create structured projects that aim to sell NFT assets or go beyond by integrating commercial projects, such as games which members could play to earn crypto assets or other elements, or immersive consumer experiences for brand marketing. The associated risks are as numerous as the associated opportunities. For example, a rug pull scam can be used by promoters to create a hype of a sham project via social media channels to seek investment and presale (e.g. via whitelisting or other crowd-funding methods) and disappear as soon as the investors have contributed significant assets into their portfolio. Further, a pump-and-dump scheme can be used by the collusion of a group of people, including influencers and companies with names, to artificially drive the demand and thus the value of the digital assets and linked crypto assets that they have created, beyond the more common platforms and crypto currencies already widely used by the community. Without a practical educational tool for the Users who sometimes are induced to take an active part in promoting certain Digital Projects (e.g. resale and related self-interested marketing), the latter remain vulnerable to a myriad form of risks.

Ideally, an enhanced education and information of the Users, coupled with self-aware responsibility from the actors, would help reach a point of convergence of good practices. A more general practical methodology and taxonomy is required to encompass Digital Projects, whichever the form and means used to reach the general public (marketplace, website, Web 3.0., platform, social media) on which various types of activities, exchange, trade, transfer and transactions occur (auction, sale/acquisition, sharing of information, investment). This would help warn against the risks of fraudulent digital activities and representations (airdrops, giveaway, shell websites, sham projects) created for the purpose of committing potentially criminal acts (data/identity theft, financial fraud, money laundering, hacking e-wallets etc.).

[16] even broadened by the misleading or hidden information on social media; the prohibitions in Article 7(2) and point No 22 of Annex I UCPD against hidden marketing are particularly relevant. A similar requirement stems from Article 6(a) of the e-Commerce Directive.

[17] Directive 2006/114/EC of the European Parliament and of the Council of 12 December 2006 concerning misleading and comparative advertising (codified version) (Text with EEA relevance) *OJ L 376, 27.12.2006, p. 21–27*

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